Brazil's carbon credit market

Perspectives on the SBCE Law as a catalyst for growth

BeZero

ABOUT US

BeZero Carbon is a global carbon ratings agency. Our independent ratings, risk tools and datasets equip world-leading organisations with the knowledge and confidence to make better climate decisions. Our aim is to scale climate impact through carbon markets.

BeZero's expertise in Brazil

Our experience in Brazil is supported by local partnerships with research institutions, permanent analytical staff on the ground, and site visits by our global team. In 2023, we partnered with the Earth Observation and Geoinformatics Division at Brazil's National Institute for Space Research (INPE) to improve carbon estimates in the Amazon and the Amazon Environmental Research Institute (IPAM) to support Brazilian postgraduates in carbon research. Our scientists in Brazil have been published in top-tier journals, including Nature and Science. The expertise they bring to our project analysis includes tropical forest ecology, carbon mapping, forest biomass, remote sensing, and marine conservation. Their doctoral research includes quantifying emissions from Amazonian forest fires, the impact of fire on tropical savannah vegetation, and land tenure issues in Brazil. They have been affiliated with institutions such as Brasília University, IPAM, INPE, the National Institute of Amazonian Research, UFPR, UNDP, and UNEP in a research, lecturing or advisory capacity.

BeZero has assessed close to 50 nature and tech-based projects in Brazil. Our ratings analysis is trusted by 180+ companies globally, including over a dozen carbon project developers, investors and buyers with headquarters and operations in Brazil.

Acknowledgements

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Foreword

This report appears at a pivotal moment in the redesign of Brazil's development strategy to address climate change. The creation of the Sistema Brasileiro de Comércio de Emissões (SBCE), following years of parliamentary debate, represents more than the dawn of a national carbon market: it signals how large emerging economies can align climate policy, investment, and growth. The perspectives captured here reflect a country not merely responding to global pressures but actively building an institutional framework that could redefine the relationship between development and decarbonisation.

At the centre of these findings lies a shared conviction: effective governance will determine the SBCE's success. Its credibility, domestic and international, depends on transparent institutions, predictable policy signals, and coherent coordination among ministries. As the contributors to this report emphasize, a rules-based and transparent architecture is the essential guarantor of confidence in Brazil's evolving carbon economy.

The envisioned compliance market forms the system's structural engine. By creating domestic demand for emissions allowances, it will establish a reference carbon price and translate ambition into measurable behaviour. Yet the project-based element of the SBCE remains the heart of Brazil's opportunity, where innovation, investment, and international collaboration can turn policy into tangible outcomes.

Unlocking Brazil's vast climate potential will require billions of new investment in projects across natural and industrial sectors. Carbon credits can help unlock this. Stakeholders stressed that clear rules, strong institutions, and credible safeguards are essential for capital to flow, and there are still tensions between state intervention and market autonomy in the discussion of implementation issues. However, Brazil's carbon markets will depend less on mandates than on market confidence to make carbon assets a real incentive to transition investments.

As COP30 in Belém approaches, Brazil stands at the centre of global climate diplomacy. The SBCE is integral to the Government's narrative of moving from pledges to results in climate policy. Progress on areas like governance and Article 6 readiness could demonstrate that Brazil's carbon market is not only well-designed but operationally effective. The SBCE thus embodies Brazil's multilateral statement of intent: the country now treats carbon as a strategic asset: to value its natural wealth, mobilise finance, and strengthen its international standing.

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Winston Fritsch is Trustee Emeritus of CEBRI, Brazil's leading think tank on Climate Policy, and a Member of the Ad-hoc Council of the COP 30 Presidency on Economics and Climate Finance. He has been an academic economist, Secretary of Economic Policy of the Brazilian Minister of Finance and has a long experience as partner and chief executive of leading financial institutions in Brazil.

Executive summary

Through interviews with **12 market insiders**, we have ascertained a mood of **cautious optimism** regarding the potential of Brazil's new national carbon market law, the SBCE, to catalyse growth in the country's carbon credit market. Interviewees told us that, with the right governance structure in place, the SBCE could stimulate unprecedented domestic demand for credits, connect Brazil to international compliance demand via Article 6, and drive up credit integrity standards. The table below summarises the insights from our interviews alongside BeZero Carbon's view across key thematic areas that emerged.

THEME	INSIGHTS SUMMARY
GOVERNANCE	**Local experts:** Governance should aim to embed the SBCE as a "state policy" | Transition towards independent governance is needed | Call for timely Article 6 eligibility decisions to unlock investment. **BeZero Carbon:** Embed private sector voices in governance design to ensure the 'investability' focus is maintained.
CAP-AND-TRADE	**Local experts:** Positive catalyst for domestic carbon credit demand | Growth impact will be secondary to international compliance demand | Risk of low-integrity credits undermining cap-and-trade credibility. **BeZero Carbon:** Introduce independent, project-specific ratings as the guardrail against low-integrity credits being used in the compliance setting.
ARTICLE 6	**Local experts:** Key route to monetise high-quality carbon credits globally | Cautious approach on issuing corresponding adjustments needed for credibility, but further delays could erode competitiveness. **BeZero Carbon**: Apply robust NDC risk modelling to unlock decisions on eligibility for corresponding adjustments, and deliver investment at scale.
OVERSEEING SUPPLY	**Local experts:** Focus on alignment with international methodologies, with Brazilian adaptations, and signal quality via CCPs and independent ratings | Tackle "beyond carbon" challenges, notably land-tenure issues. **BeZero Carbon:** Methodological reform alone is insufficient: integrating project-specific ratings will anchor Brazil's reputation for quality and trust.
FORESTRY	**Experts:** Reforestation is gaining momentum despite challenging payback times | Avoided deforestation remains a "value-for-money" pathway | J-REDD+ could unlock transformational credit volumes but depends on integrity safeguards. **BeZero Carbon:** A diversified approach spanning ARR, project-REDD+, and J-REDD+ is vital, backed by project-level transparency across carbon and "beyond carbon" factors.
BEYOND FORESTRY	**Local experts:** Shift from renewable energy to industrial/waste projects | Agriculture is "the sleeping giant" of mitigation potential | Engineered carbon removals represent a long-term opportunity. **BeZero Carbon:** Exploit 'low-hanging fruit' (e.g. waste, agriculture) and longer-term engineered removals, with ratings as a tool to differentiate project-level integrity and guide investment.

The pathway to a Brazilian national carbon market law

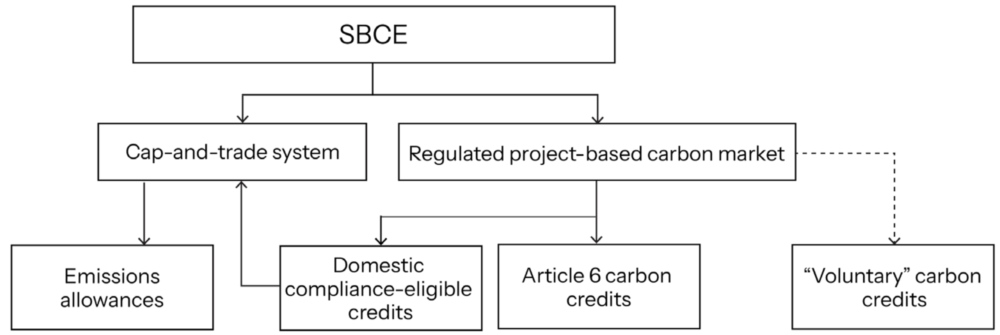
Brazil's new national carbon market law, the Sistema Brasileiro de Comércio de Emissões (SBCE), marks a turning point in the country's approach to climate policy. Enacted into law in December 2024 after years of debate, the SBCE establishes the legal foundation for a national cap-and-trade system and defines how Brazil's extensive ecosystem of carbon credit projects will fit into domestic and international markets. In doing so, it positions Brazil as one of the few countries building a carbon market architecture that connects compliance, voluntary, and Article 6 mechanisms in a single framework.

Efforts to design a national carbon market in Brazil began in the early 2010s through voluntary initiatives and state-led pilots, but momentum stalled amid political and economic headwinds. Over time, the growing participation of Brazilian carbon projects in international voluntary markets, maturing corporate net-zero strategies, and the government's renewed focus on climate brought the issue back to the policy agenda.

The law's eventual passage reflects a convergence of domestic ambition and external pressure. The role of the EU's Carbon Border Adjustment Mechanism as an accelerant cannot be ignored. In a global economy moving toward carbon accountability, countries without pricing systems risk eroding competitiveness and climate credibility. Brazil has responded to this pressure by putting itself on a path to its first national compliance carbon scheme.

The SBCE is designed as a hybrid system, combining a national cap-and-trade scheme with an integrated framework for project-based carbon credits (see Figure 1). The compliance scheme will require large emitters to monitor and report emissions, and address these by purchasing allowances or eligible carbon credits. The project-based side will regulate the supply of credits, defining eligibility for use in the domestic cap-and-trade system and for export under Article 6. While purely voluntary projects will remain largely outside the SBCE's direct regulation, the system is expected to exert influence through common standards for transparency, registry alignment, and methodological integrity. Together, these elements create the structure for an integrated carbon economy, one that can price emissions, incentivise investment, and channel finance toward a range of mitigation activities.

FIGURE 1. ILLUSTRATION OF THE SBCE'S KEY FEATURES.



The approach and structure of this report

Given our position as a carbon credit ratings agency, this report focuses on the project-based carbon element of the SBCE. The cap-and-trade element is discussed, but primarily through the lens of its potential to create a new demand source for Brazilian carbon credits. The report explores how the SBCE law's implementation is likely to shape investment, integrity, and governance across the ecosystem, and what Brazil's approach means in the context of a rapidly evolving global market.

To inform this analysis, we interviewed senior representatives from 12 organisations active across Brazil's carbon landscape, including project developers, financial institutions, corporates, NGOs, and policy experts. Their perspectives provide a ground-level view of how the SBCE is being understood, interpreted, and implemented.

The report is structured around six key themes that emerged from our interviews:

From law to leadership: Building an SBCE governance framework with longevity

Driving domestic credit demand: Brazil's first national compliance scheme

Article 6: Building a bridge to global compliance demand

Quality, trust and alignment: Overseeing Brazil's carbon credit supply

Harnessing natural assets: Putting forests at the heart of Brazil's carbon future

Looking beyond the forest: New frontiers for Brazil's carbon credit supply

Each section distils what interviewees told us: the points of consensus, the areas of disagreement, and the insights that reveal how the full carbon potential of one of the world's largest, most dynamic, and most ecosystem-rich countries could be unleashed. We supplement these insights with data and our own view on the key actions the Brazilian Government should take as they implement the SBCE over the coming years.

From law to leadership: Building a governance framework with longevity

Current status

- The SBCE legislation left key details regarding governance and implementation to a series of decrees still under development.

- On 15th October 2025, responsibility for implementation was transferred from the Ministry of Finance to a newly created Extraordinary Secretariat.[1]

- In the long-term, the law foresees an independent, multi-tiered governance model which would require new legislation and budget allocation (see Figure 2).

- The law foresees five phases of implementation, with full operationalisation likely in the early 2030s, but with key decisions on the project-based carbon elements likely to be taken by 2026/2027 (see Figure 3).

Interview insights

Across all interviews, governance emerged as the defining test for Brazil's new carbon market. Interviewees described the SBCE law as a "landmark framework" that gives long-awaited legal clarity to carbon trading. Yet most agreed that legislation is only the first step. The real challenge lies in building the institutions and rules that will make the market credible, transparent, and durable.

There was widespread recognition that the Ministry of Finance's initial leadership on implementation had given the process important political weight and economic coherence. Participants said its involvement had anchored the discussion in fiscal and macroeconomic reality, a crucial signal to investors. Still, most recognised that this represented a transitional phase: "The market needs a credible, long-term home".

Most expected the SBCE to operate through the Extraordinary Secretariat over the next few years, supported by technical committees working on the registry, compliance design, and crediting methodologies. Many saw this as a pragmatic approach: allowing the Government to make progress while acknowledging the fiscal reality of the Brazilian system, whereby creating a dedicated budget line for a new organisation requires new legislation.

At the same time, several participants underscored that full institutional independence must remain a long-term goal. As one noted, "Carbon pricing needs to outlive administrations." While the current administration has prioritised climate action, future governments may not. Hence, as one interviewee put it,

> "The SBCE should be embedded as a state policy rather than a government programme

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Interviewees consistently stressed that what matters most now is clarity and transparency. The market's credibility, both domestically and internationally, depends on consistent rules around credit issuance, registry operations, and oversight. A few participants emphasised the need for alignment with international best practice: not to copy other systems, but to ensure compatibility with emerging global norms. Others argued Brazil should prioritise a model tailored to its national circumstances, rooted in domestic policy coherence. The underlying consensus was that credibility will come from clear processes and steady signals, rather than speed.

Several interviewees framed the current pace not as a sign of delay, but as a reflection of the task's complexity, which requires coordination across ministries, state governments, and sectoral climate plans. Several noted that the process is already encouraging unprecedented cooperation: "for the first time, Finance, Environment, and Energy are sitting around the same table to discuss carbon market issues, which is progress in itself."

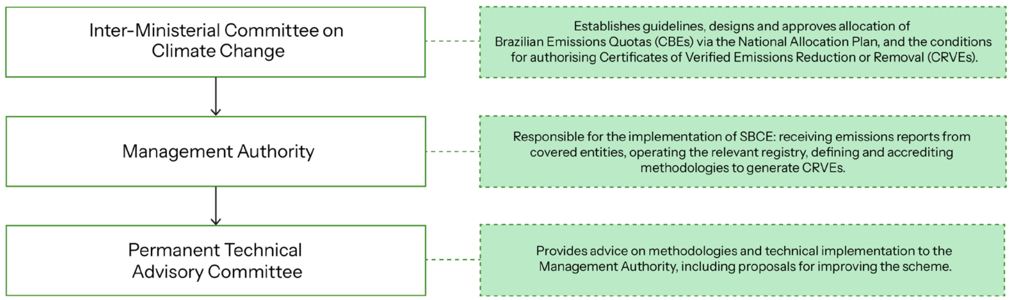
Others, however, cautioned that Brazil risks losing momentum and investor confidence if tangible results are not visible soon. They urged faster delivery on the registry, sectoral coverage, and Article 6 rules, while others warned that rushing could undermine integrity and coherence. The prevailing view was that overlapping mandates are natural at this stage, but must be harmonised quickly; what matters most is steady, visible progress that demonstrates commitment while allowing the institutional foundations to mature.

A recurring theme was the need for broad participation and accountability. Some called for the creation of a multi-stakeholder council, bringing together technical experts, private sector representatives, and civil society, to guide decision-making. Such a body, they argued, would reinforce legitimacy and help manage disputes before they undermine confidence and investment.

Participants also agreed that good governance extends beyond formal institutions. It must send a predictable and coherent policy signal, reassuring companies and investors that the market's rules and objectives will remain stable. "Markets can adapt to almost anything except uncertainty," one interviewee observed. That sense of predictability, of policy as an economic instrument rather than a political variable, was seen as crucial for both domestic engagement and international credibility.

Despite the challenges, interviewees remained broadly optimistic. Most saw the SBCE as Brazil's opportunity to demonstrate global leadership by showing how a major emerging economy can design a carbon market that is both credible and inclusive. Several remarked that the decisions taken now on governance will determine not just the integrity of the market, but its role in Brazil's broader development strategy. As one participant summarised, "It's better to take the time to build something durable than to rush and rebuild later."

FIGURE 2. ILLUSTRATION OF THE PROPOSED LONG-TERM SBCE GOVERNANCE STRUCTURE.

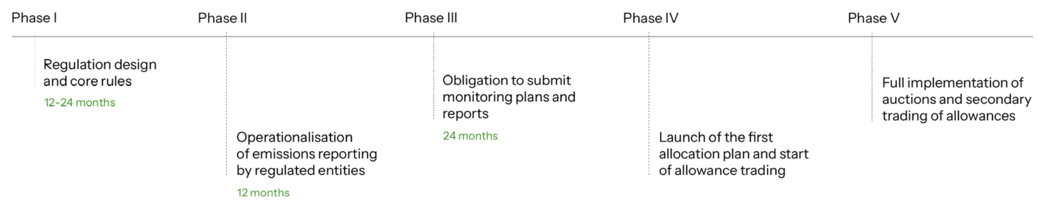


BeZero Carbon's view

Globally, there is a clear trend towards integrating project-based carbon credits into compliance schemes. A unique feature of the SBCE is that this integration is baked into the design of the legal framework and governance structure from the outset, rather than being retrofitted. In this regard, the Brazilian Government's approach is to be commended, and offers a clear learning opportunity for other countries.

A key risk, however, is that establishing a complex governance structure that can take a holistic view across carbon markets could take a significant amount of time, resulting in lost investment opportunities for the market. Brazil has huge potential to provide credits for the supply-constrained CORSIA market, but would need to issue authorisations to projects quickly to meet deadlines for the programme's first phase. Outlining a role for private-sector voices in the SBCE governance structure is key to ensuring that decisions are geared towards maximising investment opportunities for the market.

FIGURE 3. PLANNED PHASES OF SBCE IMPLEMENTATION.



1 https://www.in.gov.br/en/web/dou/-/decreto-n-12.677-de-15-de-outubro-de-2025-663086889

Driving domestic credit demand: Brazil's first national compliance scheme

"If everyone just buys the cheapest tonne, the market will clear, but credibility won't

Current status

- The SBCE will create a national cap-and-trade mechanism regulating large emitters.
- The law provides that companies will trade emission allowances ("CBEs") and may use a limited share of carbon credits ("CRVEs") to meet compliance obligations.
- The specific sectoral coverage, caps, and carbon CRVE limits are still being defined through secondary regulation.
- Around 5,000 companies are expected to be covered in the first phase, including the energy, industrial, and transport sectors.

Interview insights

For most interviewees, the creation of Brazil's cap-and-trade compliance scheme represents the core ambition of the SBCE law: the moment when climate policy begins to drive real economic behaviour through mandatory pricing. The consensus was that the law's framework is sound and that Brazil now has the building blocks for a credible market. The challenge, they said, lies in translating that framework into a system that is both pragmatic and ambitious: one that signals long-term certainty without overwhelming companies in its early years.

Many emphasised that the Brazilian cap-and-trade system will start small by design, giving time to build the infrastructure and technical capacity needed for verification and enforcement. Several compared the approach to the early EU ETS phases, where modest targets and pilot rules helped build institutional confidence. Interviewees stressed that investors and companies need to understand the long-term trajectory, including how caps will tighten and what proportion of carbon credits will be allowed.

Several pointed to the design of the rules regarding carbon credit use as being critical to the impact of the cap-and-trade system. Allowing the market to be flooded with low-cost credits could make compliance easier in the short term but risk undermining environmental integrity and international confidence. Others argued for differentiated tiers for credits, where higher-integrity credits could attract premium pricing or priority use. As one put it, "If everyone just buys the cheapest tonne, the market will clear, but credibility won't."

The expected carbon credit use under the cap-and-trade was estimated to be in the range of 10-30% of the total cap by most interviewees. For project developers, this offers a stable domestic market after years of volatility in the voluntary market. But others warned that this will not, by itself, transform Brazil's carbon economy. "Compliance demand will help, but it won't be a game-changer," said one market expert. The sentiment was that the compliance scheme will create structure and a degree of stable demand for carbon credits, but that the key growth opportunities will come from international demand (see illustration of the potential scale of domestic compliance demand in Figure 4).

Several participants noted that the cost of compliance in the Brazilian cap-and-trade system is likely to push buyers towards lower cost credits, at least in the early stages of the market. This could result in a situation whereby lower cost industrial emissions and REDD+ credits dominate the domestic market while higher cost credit types such as reforestation primarily service the international market.

While some private sector voices expressed impatience with the pace of regulation, the prevailing tone across conversations was pragmatic. Interviewees recognised that Brazil is attempting to design its first national ETS in parallel with building the administrative machinery to run it: a complex process for any country. "If the first compliance cycle is light, that's not failure," said one. "It's calibration."

There was also discussion of how to ensure policy coherence with Brazil's Nationally Determined Contribution (NDC) and broader climate strategy. Several participants highlighted that the ETS should be directly linked to sectoral decarbonisation plans under the country's Plano Clima, ensuring that caps and credit use align with long-term mitigation goals.[2] Others noted that, by embedding the ETS within national planning, Brazil could strengthen both investor confidence and international credibility.

A few participants saw Brazil's gradual approach as an asset. Early simplicity, they argued, could attract participation and establish a culture of compliance before the system tightens. The aim should be to build trust and competence first, ambition later. As one observed, "You don't measure a market's strength by how fast it starts, but by how well it endures."

Despite uncertainty around timing, there was a clear sense that the direction of travel is irreversible. The creation of a compliance scheme marks a shift from voluntary climate action to obligatory emissions accountability. Several interviewees described this as the real transformation triggered by the SBCE: turning carbon from a public relations issue into a line item on corporate balance sheets.

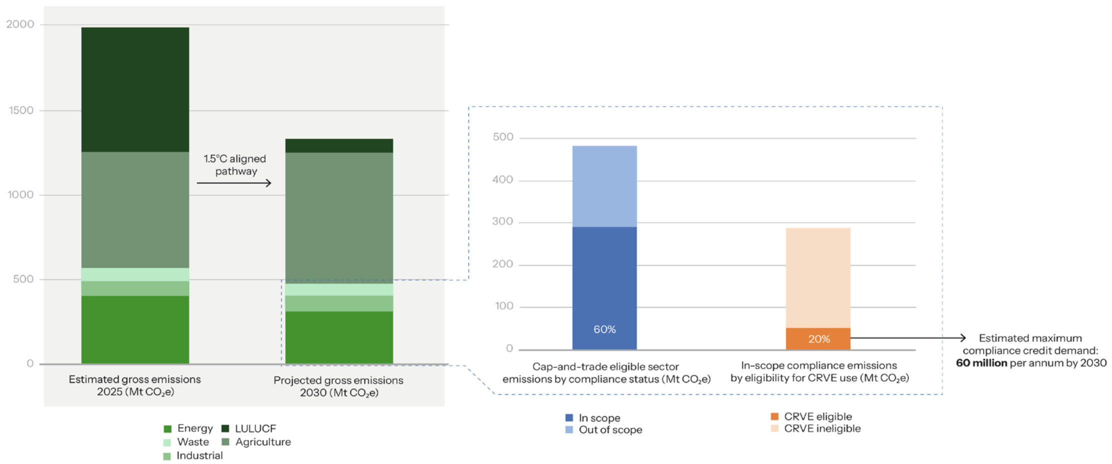
BeZero Carbon's view

The unique profile of Brazil's greenhouse gas emissions, currently dominated by deforestation and agriculture, means that it is right for the Government to allow a higher proportion of project-based credits to be used in the compliance setting than is the case for international counterparts.

What must be considered carefully is how to design a market in which there are strong guardrails in place against low-integrity credits (i.e. those with a low likelihood of delivering on their carbon claim) being used to meet compliance requirements.

This is of particular concern in the compliance setting, where participants will be steered towards the lowest cost pathway through the economic logic of the market. We have argued that disclosure of independent project-level ratings for compliance-eligible credits can introduce the much-needed incentive for buyers to look beyond "lowest cost to deliver".[3] This is something we'd advocate for the Brazilian Government to consider as they implement their cap-and-trade system in the coming years.

FIGURE 4.ESTIMATION OF MAXIMUM ANNUAL CARBON CREDIT DEMAND UNDER THE SBCE CAP-AND-TRADE SYSTEM BY 2030. SOURCE FOR EMISSIONS PROJECTIONS: OBSERVATÓRIO DO CLIMA & SEEG, 2024.[4] SOURCE FOR CAP-AND-TRADE ASSUMPTIONS: BEZERO CARBON ESTIMATES.[5]



2 https://www.gov.br/mma/pt-br/composicao/smc/plano-clima
3 https://bezerocarbon.com/insights/maximising-the-climate-impact-of-carbon-credits-in-compliance-schemes
4 https://seeg.eco.br/wp-content/uploads/2024/12/Brasil2045_Bases_NDC.pdf
5 Assuming the SBCE will cover 60% of emissions in eligible sectors, and that 20% of those emissions will be eligible to be covered by CRVEs

Article 6: Building a bridge to global compliance demand

Current status

- Article 6 of the Paris Agreement enables countries to trade carbon credits linked to their national emissions accounts, allowing international cooperation on mitigation while ensuring that emission reductions or removals aren't double-counted.

- Under the SBCE framework, Brazil is developing a national system for authorising and recording Article 6 credits, opening up opportunities for project developers to access demand sources such as the CORSIA market.

- Unlike some other major "supplier countries" for the global carbon credit market, Brazil has not yet concluded any bilateral Article 6.2 agreements.[6]

Interview insights

Almost all interviewees described the prospect of defining Brazil's engagement with the Article 6 market as one of the most exciting, and most complex, aspects of the SBCE law. While views differed on timing and ambition, there was consensus that the long-term success of Brazil's carbon credit sector depends on connecting its national system to international compliance demand via Article 6 in a credible, well-governed way. Figure 5, showing recent credit issuance by country under international voluntary registries and the CDM, indicates the huge potential of Brazil to be one of the leading players in the Article 6 market.

Participants described Article 6 as both a strategic and symbolic frontier. Strategically, it could unlock significant investment by enabling Brazil to export high-quality credits for other countries to use towards their national climate targets, or within schemes like CORSIA. Symbolically, it represents a test of Brazil's ability to translate domestic ambition into global leadership.

At the heart of the discussion was Brazil's approach to corresponding adjustments: the mechanism ensuring that exported credits do not count towards a country's own target. Most interviewees viewed the government's current stance as cautious: no corresponding adjustments until the Government determines the type and scale of mitigation activities that can be considered 'over and above' the NDC. Some took this as a sign of responsibility rather than hesitation. "It's better to move deliberately on corresponding adjustments than to undermine trust in the NDC by moving too soon," noted one observer.

However, some also warned that excessive caution could cause Brazil to lose its competitive advantage and miss out on near-term investment opportunities. Other countries in Latin America, they pointed out, are already signing bilateral deals and securing funding through Article 6 cooperation. Several participants argued that Brazil's challenge is not the absence of an NDC, which is already clearly defined, but the absence of analytical work to understand how international transfers might affect its delivery. Without modelling these risks, they said, the government is defaulting to inaction and forgoing opportunities to attract finance that could, in practice, accelerate NDC implementation. With the proper analysis in place, they argued, Brazil could identify the space for high-value credit exports that deliver net benefits to national targets.

> "If everyone just buys the cheapest tonne, the market will clear, but credibility won't

A theme that surfaced repeatedly was the need for clarity on institutional responsibilities. Interviewees said businesses are watching closely to see how authorisation of exports will work in practice: who signs them off, how reporting will function, and how developers can access the system. While some expected a gradual rollout, others urged the Government to publish a clear roadmap. "Investors don't mind waiting," said one participant. "They just need to know what they're waiting for."

There was broad agreement that Brazil's national registry should serve as the operational bridge between domestic credits eligible for use in the cap-and-trade and credits eligible for international transfer under Article 6. Many emphasised the importance of designing this registry to meet a high standard of traceability and transparency from day one. A participant involved described the registry as "the backbone of everything: if it's trusted, Brazil's credits will be trusted." Others added that interoperability with international voluntary registries and platforms will be essential for market access.

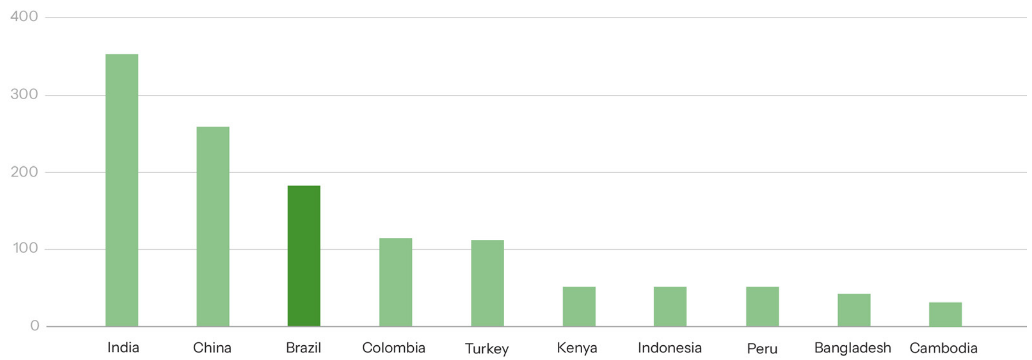
Views diverged on what kinds of activities Brazil should prioritise for Article 6 export. Many raised that Article 6 represents a significant opportunity to channel finance into the forestry sector: "Brazil's clear area of comparative advantage". Some specifically raised jurisdictional REDD+ as a project category that Brazil could leverage to provide a huge volume of credits into the global market.

Others highlighted that most Brazilian projects under the Article 6 market's predecessor, the CDM, were not nature-based and that focusing only on the forestry sector risks narrowing the potential of Article 6 cooperation. Figure 6 is indicative of this, showing that the vast majority of Brazilian projects that have applied for transfer to PACM from the CDM lie outside the forestry sector. "If we only export forestry credits," said one participant, "we're missing half the

the potential."

Despite uncertainty about timing, there was broad confidence that Brazil will be a major player in Article 6 markets once the architecture is ready. The country's combination of emissions-reduction potential, existing activity through voluntary carbon markets, and diplomatic influence makes it uniquely positioned. What interviewees stressed most was the importance of coherence: rules for export, corresponding adjustments, and registry systems must align seamlessly with domestic policy. As one project developer summed up, "If we build a bridge between domestic and international markets, the world will cross it."

FIGURE 5. RECENT CARBON CREDIT ISSUANCE (2020 - 2025, MILLIONS OF CREDITS) ON MAJOR INTERNATIONAL REGISTRIES BY POTENTIAL ARTICLE 6 SUPPLIER COUNTRIES.

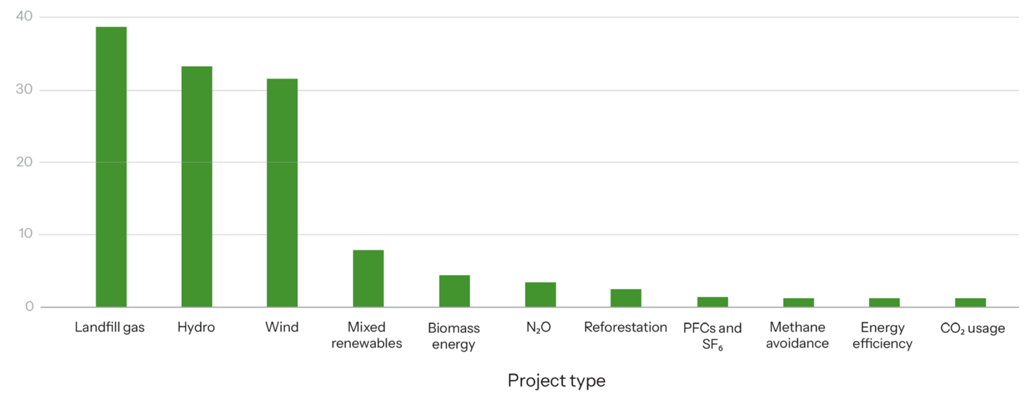


BeZero Carbon's view

Brazil has the potential to be one of the largest suppliers of credits into the Article 6 market. Caution on rushing into decisions on corresponding adjustments is justified. Our engagement with potential Article 6 credit buyers has highlighted that host country NDC risk is a major concern, which is why we have developed a framework to help stakeholders understand the country's approach to and progress towards meeting its NDC targets, Article 6 readiness and carbon market experience.[7] What is holding the Government back is the absence of detailed modelling on how credit exports might affect NDC delivery. To unlock the scale of finance at stake, Brazil needs to move from caution to calculation: building an analytical basis for decision-making and accelerating the risk-assessment process so that clear eligibility criteria can be communicated to the market.

The recent position taken by the Article 6 Supervisory Body on the permanence standard for nature-based projects indicates that, at the multilateral level and at the level of individual Article 6 credit buyers,[8] there is a push towards the highest standards of environmental integrity. This extends beyond standards and methodologies, with early sovereign buyers such as Switzerland commissioning independent[9] project-level assessments to guide their decision-making and deliver transparency.

FIGURE 6. NUMBER OF PROJECTS THAT HAVE REQUESTED TRANSITION FROM CDM TO PACM IN BRAZIL BY PROJECT TYPE. SOURCE: UNEP-CCC ARTICLE 6 PIPELINE.[10]



6 https://www.ieta.org/visualising-article-6-implementation
7 https://bezerocarbon.com/insights/introducing-bezeros-ndc-data-framework
8 https://unfccc.int/sites/default/files/resource/In-meeting_Info%20Note_Compilation%20Annotated%20Agenda%20SBM18%20Reversals.pdf
9 https://bezerocarbon.com/insights/bezero-mandated-to-assess-article-6-2-credits-by-the-swiss-government
10 https://unepccc.org/article-6-pipeline/

Quality, trust and alignment: Overseeing Brazil's carbon credit supply

Current status

- Brazil is already one of the leading suppliers to the global carbon credit market, with over 800 projects registered on major carbon credit registries.

- Under the SBCE, regulatory oversight will focus primarily on credits authorised for domestic compliance use and international transfers under Article 6.

- While purely voluntary projects will remain largely outside the SBCE's direct regulation, there is expected to be alignment through a common registry and methodological standards.

- The Government's key aims include ensuring that methodologies are suitable for the Brazilian context, that credits are viewed as high integrity on the international stage and to strengthen governance around issues like land tenure.

Interview insights

If domestic and international compliance demand represent Brazil's carbon future, international voluntary demand remains its present. Every participant acknowledged that, for now, the VCM continues to be the main source of capital for climate projects across the country. Yet almost all agreed that the voluntary space must evolve: it needs clearer rules, higher standards, and stronger links to national policy if it is to remain credible and relevant once the SBCE is operational.

Interviewees described the VCM in Brazil as being at a crossroads. Years of expansion have brought valuable experience, but also challenges of quality, transparency, and trust. Several participants said that the VCM's reputation suffered from early episodes of over-crediting, land-tenure disputes, and uneven community engagement. "Brazil has the right ingredients," one project developer said, "but the recipe needs refining."

The majority of interviewees agreed that alignment between the VCM and the SBCE will determine the market's next phase. While voluntary activity will continue to operate independently, most expected the national registry and integrity framework defined under the SBCE to influence which credits are recognised, who can issue them, and how they can be claimed.

Stakeholders emphasised the need for transparency and traceability. Many urged that all credits generated in Brazil should follow methodologies defined under the SBCE framework and be recorded in the national registry. Some argued for public disclosure of ownership, vintage, and retirements via this registry: "sunlight is the best disinfectant", as one put it.

> "The market listens to ratings: they're becoming the shorthand for trust

Interviewees raised the issue of how Brazil will regulate carbon credit project methodologies under the SBCE. Opinions differed on whether the country should create its own methodologies or adopt existing ones from international standards such as Verra. Most participants came down in favour of adapting, rather than reinventing, established methodologies, arguing that alignment with recognised standards would maintain investor confidence and ensure international compatibility. "You don't gain credibility by starting from scratch," said one participant.

Several added that adaptation of methodologies could still allow space for "tropicalisation", refining methodologies to better reflect Brazil's ecological and social realities, such as regional baselines or land-use dynamics, without severing ties to global frameworks. The prevailing view was that Brazil should aim for recognition rather than isolation: using its regulatory framework to strengthen connection to international markets, not to replace them.

Linked to this was the question of how carbon integrity will be signalled once the SBCE is operational. Many participants argued that the government should align closely with global frameworks such as the Integrity Council for the Voluntary Carbon Market (ICVCM), to ensure that methodologies are recognised as meeting the minimum quality threshold increasingly expected from buyers.

Some also pointed to the growing role of independent ratings agencies that assess carbon integrity through project-level risk assessment. Ratings agencies, they said, can provide an extra layer of transparency and discipline that complements public regulation. One participant observed that "the market listens to ratings: they're becoming the shorthand for trust." Interviewees agreed that combining regulatory oversight with market-based signals such as ratings will give Brazil's voluntary market a stronger international reputation. Figures 7-9 provide insight from BeZero's ratings of Brazilian projects to date.

Another recurring theme was the importance of tackling "beyond carbon" integrity issues, especially land tenure and community rights. Several participants said that disputes over ownership and benefit-sharing had undermined confidence in many nature-based projects. Under the SBCE, they saw an opportunity to fix this: by requiring clear proof of land title, transparent revenue distribution, and documentation of free, prior and informed consent for projects on indigenous and traditional lands.

Some pointed to the provisions under the SBCE law requiring the allocation of 50–80% of carbon credit project revenue to local communities as a major step forward. On the subject of how such a provision would impact the revenue model of project developers, one responded that: “responsible developers already impose such provisions internally, so the impact should be limited”. Others cautioned that these rules will only build trust if backed by robust verification and public disclosure at the project-level.

Taken together, these perspectives point to a pragmatic evolution of Brazil’s carbon credit market. Rather than reinventing standards, stakeholders want the SBCE to act as a quality anchor, setting clear rules for transparency and social safeguards while keeping Brazil plugged into international frameworks. The consensus across conversations was that this approach would strengthen both domestic credibility and international market access, ensuring that Brazil’s carbon economy grows on the twin foundations of trust and alignment.

FIGURE 7. THE BEZERO CARBON RATING SCALE - BASED ON THE LIKELIHOOD OF CREDITS DELIVERING ON THEIR CLAIM TO REPRESENT 1 TONNE OF CO2E REMOVED OR AVOIDED.

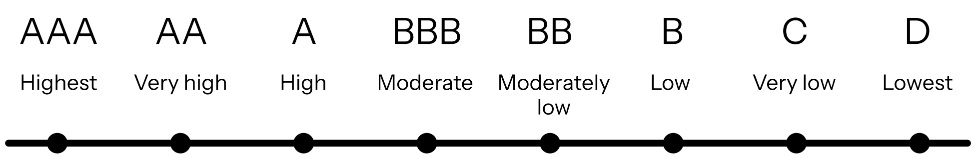
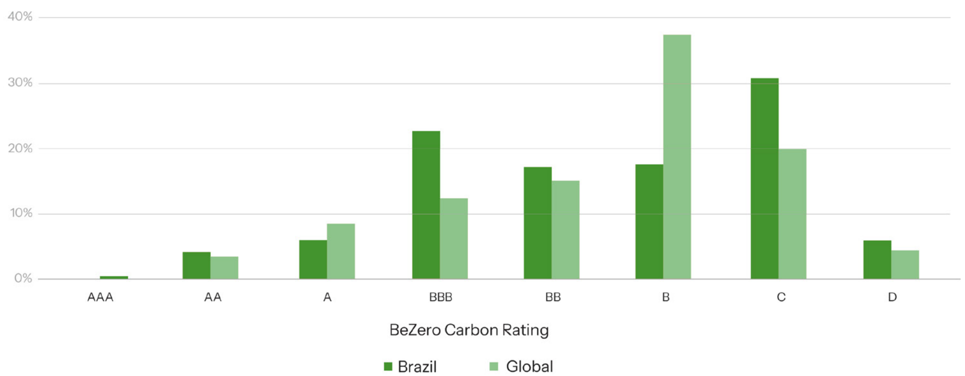


FIGURE 8. BEZERO CARBON RATINGS DISTRIBUTION (% OF RATED PROJECTS BY RATING NOTCH) FOR PROJECTS IN BRAZIL AND GLOBALLY, OCTOBER 2025.

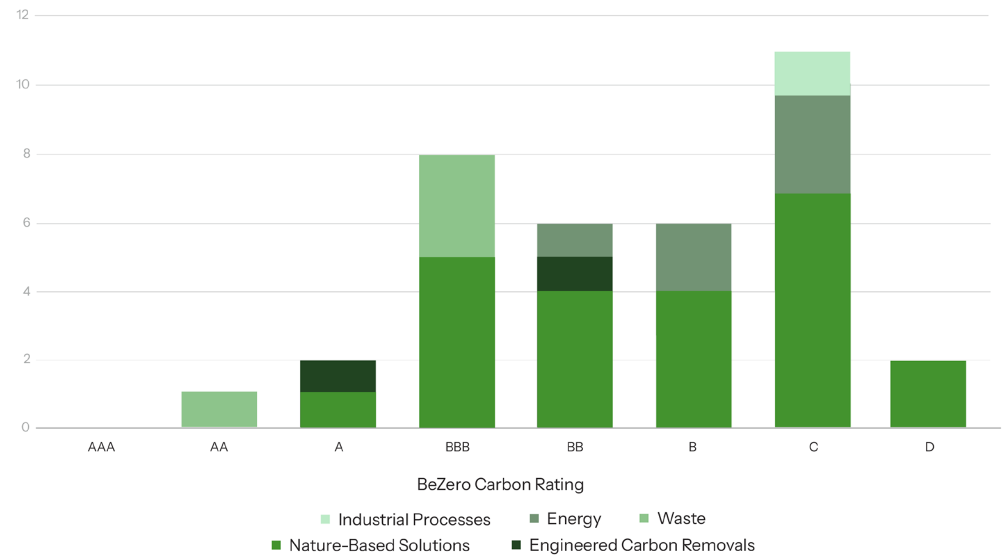


BeZero Carbon’s view

The Brazilian government is right to focus on regulating to ensure that credits generated under the SBCE and listed on the national registry have the highest chance of delivering on their carbon claim. Analysis shows that buyers have steadily but decisively moved towards higher quality credits over recent years - as indicated by both retirement trends[11] and the divergence in price between higher- and lower-rated credits from BeZero Carbon.[12]

We strongly advise the Government not to rely solely on methodologies as the key policy lever to deliver on its drive towards integrity. Improved methodologies can raise the bar on quality in aggregate, but will always allow significant scope for variation at the project level. Our ratings clearly demonstrate that, within a given methodology, there can be huge differences between projects in terms of the performance risk of issued credits. We encourage the Brazilian Government to endorse independent ratings as a tool for market participants to assess project-level risks, a step that other governments, such as the UK, have taken.[13]

FIGURE 9. FREQUENCY OF BEZERO CARBON RATINGS (NUMBER OF PROJECTS) FOR BRAZILIAN PROJECTS BY PROJECT SECTOR, OCTOBER 2025.



11 https://bezerocarbon.com/insights/what-carbon-credit-retirements-tell-us-about-buyer-behaviour
12 https://www.fastmarkets.com/insights/redd-projects-show-broad-price-ratings-correlation-but-project-s
13 https://unfccc.int/sites/default/files/resource/In-meeting_Info%20Note_Compilation%20Annotated%20Agenda%20SBM18%20Reversals.pdf

Harnessing natural assets: Putting forests at the heart of Brazil's carbon future

Current status

- Around one-third of Brazil's net greenhouse gas emissions come from the land use, land-use change and forestry sector, primarily driven by deforestation of the Amazon, with a further third coming from agriculture.[14]

- Credits generated from high-quality forestry protection and restoration projects are increasingly in demand from buyers, and will feature across Brazil's strategy for domestic compliance credits, Article 6 and voluntary markets.

- The Tropical Forests Forever Facility (TFFF), proposed by the Brazilian Government for discussion at COP30, aims to provide long-term, results-based finance for forest conservation alongside market-based mechanisms.

Interview insights

Interviewees across all categories, from finance to civil society, agreed that the forestry sector represents Brazil's comparative advantage and will be the heart of its carbon credit market for years to come (see Figure 10 for some illustrative examples of forestry projects in Brazil). Yet they were equally clear that the success of this pillar will depend on how the country manages quality, equity, and diversification within the vast landscape of forest-based carbon.

Most participants began from the same premise: the scale of Brazil's forest potential is unmatched, but potential alone does not translate into value. Many recalled the country's history of fragmented forest initiatives: promising much on paper but undermined by weak safeguards or competing interests. The SBCE, they said, offers a chance to reset the narrative by embedding clear rules on integrity, tenure, and benefit-sharing. "Brazil has the credibility challenge and the credibility opportunity in the same place: its forests," said one participant.

Many interviewees emphasised the growing importance of reforestation within Brazil's carbon portfolio. Some developers described this as the next phase of the country's forest story: moving from protecting existing trees to actively restoring degraded land. They noted that afforestation, reforestation and restoration (ARR) projects can deliver high integrity credits that fit well with emerging international preferences for carbon removals rather than avoidance (Figure 10 shows price projections for nature-based removal and avoidance projects). Several pointed to large corporate buyers,

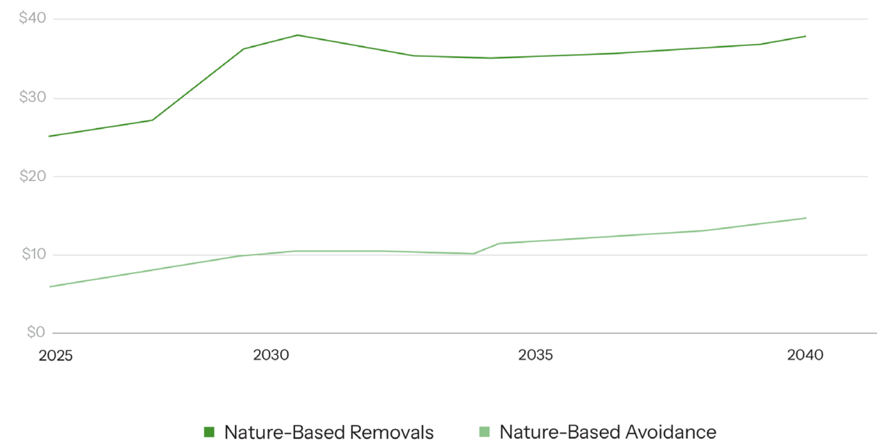
"Everyone looks to Brazil for forests; the question is whether we lead only by size or also by standards

particularly in the technology sector, as key drivers of this trend in investment towards ARR, as they seek removal credits to meet their net-zero targets.

However, participants also highlighted the high costs and long payback periods associated with reforestation. "We're betting on trees growing, not just not being cut," said one developer, "but that takes significant time and investment before revenue starts to come in."
A few interviewees called for policy differentiation or financial incentives to ensure these projects remain viable, warning that without such support, removals could struggle to compete with cheaper forms of avoided deforestation.

At the same time, several made the case for avoided deforestation as offering strong "value for money." They argued that, despite growing enthusiasm for removals, preventing forest loss remains the most cost-effective climate action in Brazil. "Every hectare not cleared is one you don't have to replace later," one participant observed. Some interviewees cautioned that the reputational issues from earlier projects (e.g. over-crediting, tenure disputes, inconsistent baselines) must be addressed through stricter governance and transparency under the SBCE. Yet, most agreed that with robust safeguards, avoided deforestation still represents an efficient and scalable component of Brazil's carbon strategy,

FIGURE 10. PRICE FORECASTS (USD PER CREDIT) 2025 – 2040 FOR NATURE-BASED REMOVALS AND AVOIDANCE PROJECTS. PRICE FORECASTS COME FROM FASTMARKETS' GLOBAL CARBON MODEL AUGUST 2025 RESULTS AND REFLECT A SECTOR-WIDE AVERAGE PRICE.[17]



complementing rather than competing with reforestation efforts.

The discussions also frequently turned to jurisdictional REDD+ (J-REDD+), which some saw as the most promising pathway to scale forest credits. Participants highlighted ongoing progress in states such as Acre and Pará, where regional governments are developing systems that integrate land registries, monitoring, and benefit-sharing mechanisms. These programs were described as “the testing ground” for how national nesting under the SBCE might operate in practice. Several highlighted that, as J-REDD+ projects are led by public authorities, they circumvent many of the land tenure issues that have stalled project-based approaches.

Several interviewees stressed the enormous potential volume of credits that J-REDD+ could generate once fully established. One noted that the number of credits projected from the Guyana jurisdictional program is striking when compared with Brazil’s vastly larger territory. This implies that the potential scale of issuance, if managed responsibly, could be transformative for both supply and finance. However, participants were clear that such scale will require unambiguous governance, particularly with regard to interaction with project-level activities. Others also highlighted concerns about the integrity of credits issued under J-REDD+ methodologies, referencing low ratings assigned by some ratings agencies.

The role of the Tropical Forests Forever Facility (TFFF) was also discussed. Interviewees described it as a potentially transformative complement to market-based finance: a mechanism that could provide steady, results-based payments for conservation in areas unsuitable for crediting. Several viewed it as an answer to the volatility of carbon prices and demand. “Markets pay for performance,” one noted, “TFFF can pay for persistence.”

What united all voices was a sense of confidence in Brazil’s long-term positioning. The country’s forest assets give it a natural leadership role. The challenge, they said, is to ensure that leadership is exercised not just through quantity but also through quality. “Everyone looks to Brazil for forests; the question is whether we lead only by size or also by standards,” said one participant.

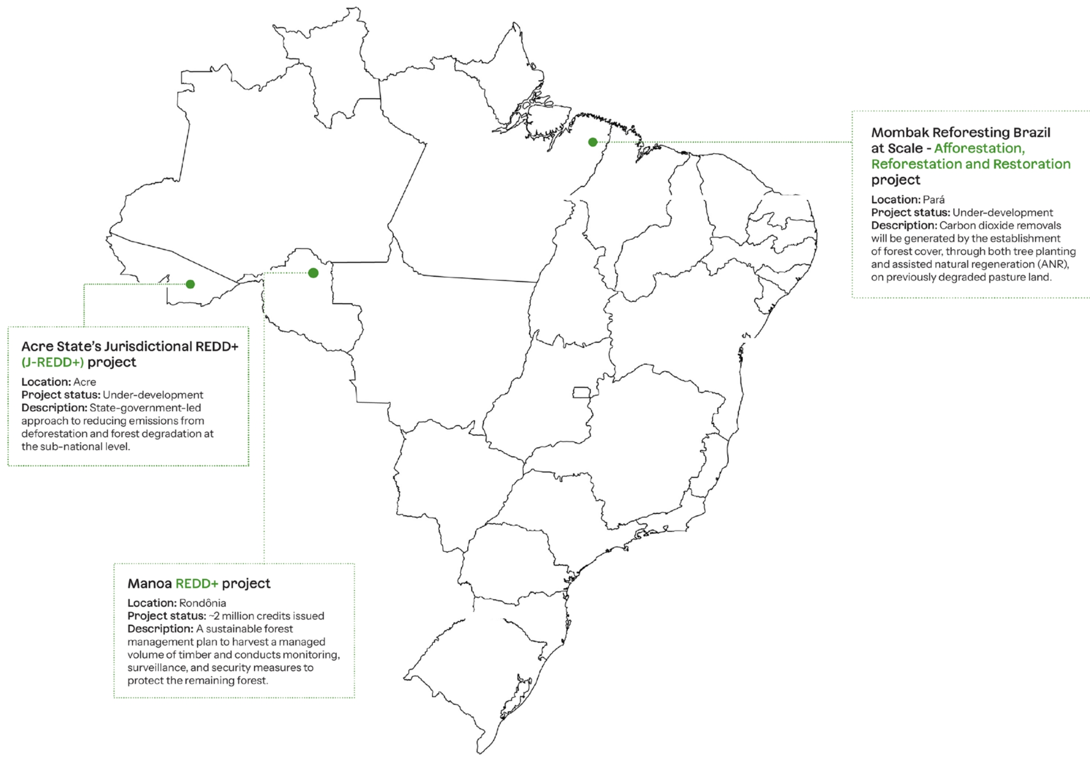
BeZero Carbon’s view

The SBCE framework should support a range of pathways to protect and restore Brazil’s forests. ARR, project-based REDD+, and jurisdictional REDD+ all have a part to play: none is inherently ‘higher integrity’ than the other. What matters is how a particular intervention is delivered on the ground and whether the assumptions applied to calculate credit issuance and mitigate risks are appropriate.

The J-REDD+ sector has significant potential in Brazil but is not without risks, as highlighted by BeZero’s rating for the Guyana J-REDD+ project.[15] Credit buyers are also increasingly aware of ‘beyond carbon’ risks for nature-based projects. Legal frameworks may reduce the impact of such risks, but they may still emerge for individual projects.

The SBCE registry should mandate the highest standard of project-level information disclosure, empowering buyers to scrutinise claims and enabling actors like ratings agencies to provide risk management services to the market across both carbon and ‘beyond carbon’ factors.[16]

FIGURE 11. EXAMPLES OF ARR, REDD+ AND J-REDD+ CARBON CREDIT PROJECTS IN BRAZIL WITH INDICATIVE PROJECT LOCATIONS.



14 https://unfccc.int/sites/default/files/resource/BRA_BTR1_2024_ENG.pdf , pg 83.
15 https://bezerocarbon.com/insights/bezero-carbon-s-first-j-redd-rating
16 https://bezerocarbon.com/insights/beyond-carbon-risk-assessment-methodology
17 https://www.fastmarkets.com/markets/carbon/

Looking beyond the forest: New frontiers for Brazil's carbon credit supply

"A credible market needs many doors into it, not just one marked 'forests'

Current status

- In the last five years, Brazilian projects outside the forestry sector have issued almost 100 million carbon credits.

- Key non-forestry project categories include agricultural emissions, energy, waste, industrial processes and engineered carbon removals.

- Under the SBCE framework, credits from these sectors will service the domestic compliance market and can be exported to international buyers via Article 6 and voluntary markets.

Interview insights

While forests remain Brazil's "carbon signature", almost every interviewee pointed out that the market's future depends on broadening its base. Participants consistently argued that the Government must enable and nurture a diversity of carbon project types, not only to hedge risk and improve liquidity, but also to reflect the country's full mitigation potential. "A credible market needs many doors into it, not just one marked 'forests'," said one participant.

Renewable energy has historically dominated Brazil's carbon credit portfolio under the Clean Development Mechanism (CDM), but most interviewees agreed that its role is now limited within carbon markets. With more than 80% of Brazil's electricity already coming from renewable sources, few energy projects can demonstrate true additionality.[18] "It's hard to argue that a new wind farm is only happening because of a carbon credit," said one. Several participants warned that approving large volumes of low-cost energy credits for use in the cap-and-trade system could damage the broader credibility of the SBCE.

Most therefore argued for the Government to focus on supporting project types that have the potential to deliver credits that are genuinely additional. Several highlighted the potential of projects in the waste and industrial emissions sectors, such as landfill gas and industrial methane recovery as credible, high-impact project types that deliver fast, measurable results. "Methane is the quick win," one interviewee said. "It's measurable, it's verifiable, and it delivers real climate benefit."

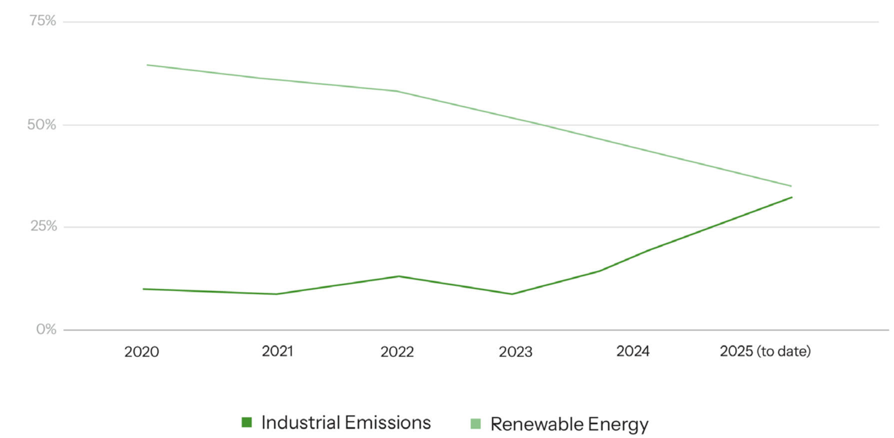
Several noted that waste and industrial emission projects also align with Brazil's urban development agenda and attract growing private-sector interest through (for example) biogas and waste-to-energy initiatives. Others mentioned that these activities can help diversify Brazil's credit supply with short-cycle reductions that complement longer-term removals from the forestry sector.

A further area which interviewees highlighted as having strong growth potential is agricultural emission projects. Many pointed to the fact that, despite representing a third of Brazil's emissions, the agriculture sector is excluded from compliance obligations under the cap-and-trade system. However, the sector has the opportunity to contribute to national mitigation efforts through the development of projects in categories such as soil carbon, which can service both domestic and international buyers.

Others highlighted the need to integrate agricultural crediting with existing initiatives like the 'ABC+ Plan', to ensure consistency with national climate and rural development policies.[19] "Agriculture is the sleeping giant," one participant remarked. "Once it wakes up, it changes everything."

Looking further ahead, several participants mentioned engineered removal project types including enhanced rock weathering (ERW), biochar, bioenergy with carbon capture and storage (BECCS), and direct air carbon capture and storage (DACCS) as longer-term opportunities that could position Brazil at the forefront of innovation once financing mechanisms mature. As one participant said: "the

FIGURE 12. PROPORTION OF NON-FORESTRY VCM ISSUANCE ACROSS THE RENEWABLE ENERGY SECTOR (E.G. WIND, HYDRO, AND SOLAR) AND INDUSTRIAL EMISSIONS SECTOR (E.G. INDUSTRIAL METHANE EMISSIONS AND OZONE-DEPLETING SUBSTANCES & OTHER REFRIGERANTS).



scale of Brazil's agricultural and forestry sectors make it a natural fit for removal technologies like ERW, BECCS and biochar, while abundant renewable energy sources could also open up opportunities for DACCS." However, others were more sceptical, stating that utilising natural carbon sinks should remain the focus.

There was also discussion about how to attract financing in these emerging sectors. Participants noted that innovative project types typically require structured or blended finance to manage higher upfront costs and longer payback periods. Some suggested that Brazil's national development bank (BNDES) or green bond programmes could play a catalytic role. "These projects don't fail on climate grounds," said one. "They fail on finance terms."

Across all these discussions, the unifying message was that diversification is key to longevity. Interviewees said that broadening the project base will make Brazil's carbon market more resilient, more credible, and more attractive to global buyers. They stressed, however, that success will depend on methodological clarity and careful sequencing: starting with sectors that can deliver cost efficient, high-quality, measurable reductions before scaling into more complex areas.

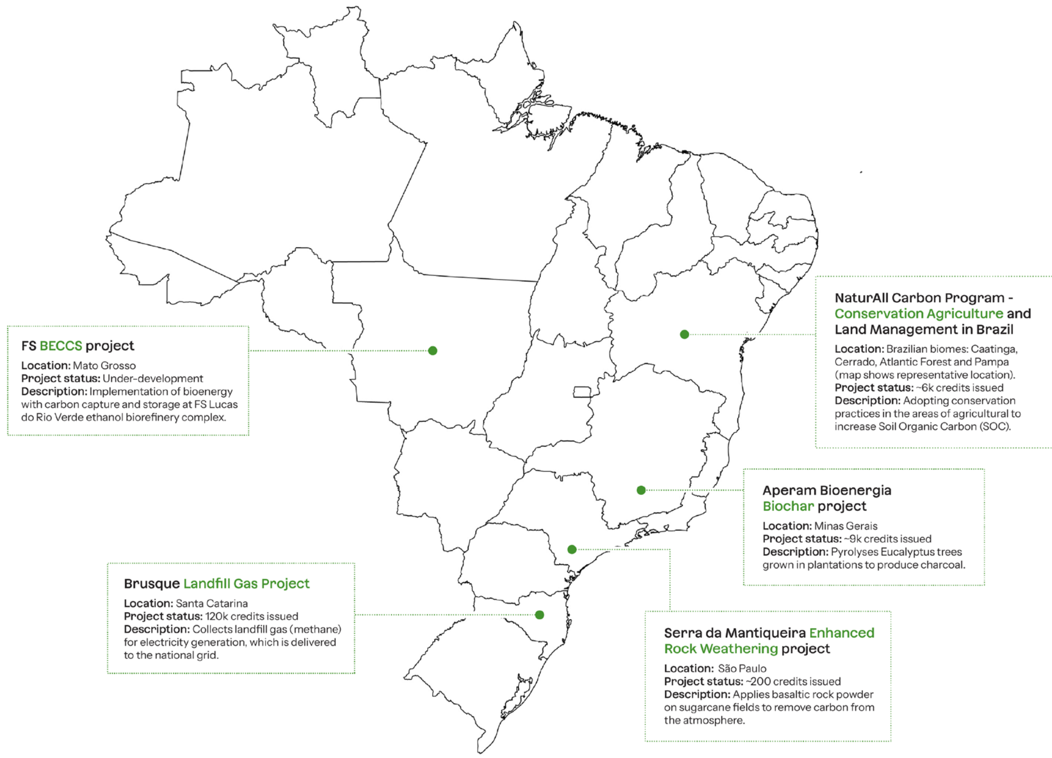
18 https://www.iea.org/countries/brazil/electricity
19 https://www.gov.br/agricultura/pt-br/assuntos/sustentabilidade/planoabc-abcmais/publicacoes/abc-english.pdf
20 https://bezerocarbon.com/insights/why-does-engineered-carbon-removal-need-ratings

BeZero Carbon's view

Brazil should exploit all potential pathways to reduce and remove greenhouse gas emissions. 'Low-hanging fruit' such as agriculture, waste, and industrial methane projects can deliver large volumes of low-risk credits that are increasingly valued by international buyers. In the longer term, Brazil is well-positioned to target the 'high-hanging fruit' of engineered carbon removals and service the growing pool of buyers willing to pay significant prices for credits from such projects.

As for forestry, the environmental integrity of credits from these sectors cannot be taken for granted, and cannot be ensured by methodologies alone. Even for engineered carbon removal projects, there may be significant risks to credit performance that vary from project to project, even under the same methodology. Carbon credit ratings play an important role in signalling project-level quality to both domestic and international buyers.[20]

FIGURE 13. EXAMPLES OF NON-FORESTRY CARBON CREDIT PROJECTS IN BRAZIL WITH INDICATIVE PROJECT LOCATIONS.



Conclusion

The perspectives captured in this report reveal a country in the midst of building something genuinely new. If implemented well, the SBCE could set a new standard for how emerging economies can link climate policy, investment, and development.

Several themes emerged consistently in the conversations that informed this report. Interviewees agreed that strong governance and transparent institutions are the foundation upon which everything else depends. The market's credibility, at home and abroad, will be built on clear rules, predictable policy signals, and coordination between ministries. The compliance market is seen as the structural engine: it will create domestic demand, establish a carbon price, and turn climate ambition into measurable economic behaviour. Yet the project-based carbon economy remains the heart of Brazil's opportunity: spanning forests, waste, agriculture, energy, and engineered removals. It is here that innovation, investment, and international collaboration converge.

The scale of the investment challenge cannot be underestimated. Transforming Brazil's carbon potential into a functioning market will require billions in new finance, flowing into both natural and industrial sectors. Interviewees repeatedly stressed that clear rules, strong institutions, and credible safeguards will unlock that capital. The Supreme Court case over a proposal under the SBCE to require insurers to allocate a share of their portfolios to carbon projects is a reminder that even well-intentioned interventions carry political and legal risks. The country's carbon transition will depend not on mandates but on market confidence: creating the conditions that make carbon investment commercially compelling and politically sustainable.

Hosting COP30 in Belém places Brazil at the centre of global climate diplomacy. Carbon markets are a defining issue, and the government is emphasising the theme of 'delivery' - shifting from pledges to outcomes. The SBCE sits at the heart of that narrative.

Progress on the market's governance, registry, and Article 6 readiness forms part of the country's headline package in Belém, demonstrating that Brazil can translate ambition into implementation. Several of our interviewees mentioned their expectations of concrete steps being taken at COP30, whether through the creation of the SBCE's managing authority or the first agreements under Article 6.2. Such actions serve as a powerful signal to investors and peers alike that Brazil's carbon market is not just designed, but delivering.

At the same time, Brazil has used its COP30 presidency to advance a broader agenda around the alignment and interoperability of global carbon markets: a theme that mirrors the SBCE's own integrated design. The country has called for greater convergence between compliance, voluntary, and Article 6 systems to enhance transparency, reduce fragmentation, and build global trust in carbon trading. Several participants noted that this international push reflects the logic of the SBCE itself: a market architecture where domestic regulation, private investment, and international cooperation operate under one set of high-integrity rules. By demonstrating that such coherence is achievable at home, Brazil aims to shape how it is pursued abroad, positioning the SBCE as both a domestic policy and a diplomatic instrument for re-defining the global carbon economy.

The SBCE is more than a domestic reform; it is a statement of intent. It signals that Brazil sees carbon not just as a cost, but as a tool to value its natural assets, mobilise finance, and reinforce its international standing. The path ahead will not be simple: legal complexity, political shifts, and the practical realities of building institutions will test the system's resilience. But the direction is clear. Brazil is no longer debating whether to have a carbon market, but how to make it work.

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